Successor characteristic	(1) Bachelor or above	(2) 985/211 school	(3) No prior failure	(4) No prior violation
Excluded instrument	Pool share	Pool share	Mean caseload	Mean caseload
Panel A. First stage				
Excluded-instrument coefficient	0.223***	0.224***	-0.026**	-0.036***
	(0.060)	(0.045)	(0.011)	(0.010)
Excluded-instrument F	13.71	24.95	5.76	12.87
First-stage p-value	0.000290	0.000002	0.018300	0.000530
Partial R-squared	0.00223	0.00218	0.00106	0.00213
Panel B. Second stage: successor year				
Any failure	-0.170*	-0.077	-0.283*	-0.166*
	(0.094)	(0.073)	(0.153)	(0.088)
Restatement	-0.041	-0.086*	-0.213*	-0.119**
	(0.042)	(0.045)	(0.121)	(0.053)
Violation	-0.147	-0.034	-0.131	-0.092
	(0.098)	(0.067)	(0.094)	(0.075)
Panel C. Second stage: successor tenure				
Any failure	-0.256**	-0.134	-0.147	-0.060
	(0.105)	(0.082)	(0.160)	(0.110)
Restatement	-0.127*	-0.116*	-0.101	-0.035
	(0.069)	(0.068)	(0.107)	(0.064)
Violation	-0.175*	-0.070	-0.032	-0.013
	(0.104)	(0.073)	(0.131)	(0.101)
Observations	25,359	24,686	10,656	10,668
Audit-firm clusters	168	162	96	96
Destination audit-firm / assignment-year FE	Yes	Yes	Yes	Yes
Financial controls	Yes	Yes	Yes	Yes